CMA Final
Group 3 - Paper 13

Commerce Educators

Corporate And Economic Laws

LAW
QUESTION
BANK



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SEBI

Q1. Explain the obligations of the target company and exemptions conferred under the SEBI Regulations. (June 2025 7 Marks)

Ans. Obligations of the target company

• The Board of directors of such target company shall ensure that during the offer period, the business of the target company is conducted in the ordinary course consistent with past practice.

• the target company shall be prohibited from fixing any record date for a corporate action on or after the third working day prior to the commencement of the tendering period and until the expiry of the tendering period.

• furnish to the acquirer within two working days from the identified date, a list of shareholders as per the register of members of the target company containing names, addresses, shareholding and folio number, in electronic form, wherever available, and a list of persons whose applications, if any for registration of transfer of shares are pending with the target company

• during the offer period : unless the approval of shareholders of the target company by way of a special resolution by postal ballot is obtained, the board of directors of either the target company or any of its subsidiaries shall not alienate any material assets whether by way of sale, lease, encumbrance or otherwise or enter into any agreement therefore outside the ordinary course of business.

Exemptions

The following types of acquisition shall not come under the purview of this regulation -

(a) acquisition in the ordinary course of business by -

i) Underwriter registered with SEBI

ii) Stock Broker registered with SEBI on behalf of client in exercise of lien over the shares purchased on behalf of the client.

iii) merchant banker registered with the Board or a nominated investor in the process of market making

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iv) a merchant banker registered with the Board acting as a stabilizing agent.

v) any person acquiring shares pursuant to a scheme of safety net.

(b) acquiring shares pursuant to an agreement of disinvestment to Reconstruction / Merger / Reconstruction /Merger/Amalgamation / Demerger under order of Court or a tribunal.

(c) acquisition pursuant to the provisions of the Delisting Regulations

(d) acquisition pursuant to a resolution plan approved under section 31 of the Insolvency and Bankruptcy Code, 2016;

(e) acquisition pursuant to the provisions of the Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002.

Q2. Describe Insider Trading as regulated under SEBI (Prohibition of Insider Trading) Regulations, 2015. What Institutional mechanism are to be placed by a listed company to check, control and curb Insider Trading? (Dec 2024 7 Marks)

Ans. Insider Trading as per SEBI Regulations

Insider trading, also known as insider dealing, is the malpractice of selling or buying securities such as equity and bonds by the insiders of a company, which includes the employees, directors, executives and promoters.

Institutional Mechanism for Prevention of Insider trading

(1) The Chief Executive Officer shall put in place adequate and effective system of internal controls for compliance.

(2) The Audit Committee shall review compliance with the provisions of these regulations at least once in a financial year and shall verify that the systems for internal control are adequate and are operating effectively.

(3) Every listed company shall formulate policies and procedures for inquiry in case of leak or suspected leak of unpublished price sensitive information, which shall be approved by the Board of directors of the company and accordingly initiate appropriate inquiries on time and inform the Board promptly of the status.

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Listed entities shall have a process for how and when people are brought ‗inside' on sensitive transactions. Individuals should be made aware of the duties and responsibilities attached to the receipt of Inside Information, and the liability that attaches to misuse or unwarranted use of such information.

(4) The listed company shall have a whistle-blower policy and make employees aware of such policy to enable employees to report instances of leak of unpublished price sensitive information.

(5) If an inquiry has been initiated by a listed company in case of leak of unpublished price sensitive information or suspected leak of unpublished price sensitive information, the relevant intermediaries and fiduciaries shall co- operate with the listed company in connection with such inquiry conducted by listed company.

Q3. A PSU awarded two contracts—one in favour of Gaman Infrastructure Project Ltd. (GIPL) and another in favour of Simple Infrastructure Ltd. (SIL). Ranjan was the CMD of GIPL at the time of award of contract. GIPL and SIL had entered into two shareholders agreements which were terminated later on by the GIPL Board . Ranjan sold shares of GIPL before it was intimated to the National Stock Exchange. SEBI charged Ranjan as guilty of insider trading. However, Ranjan took a plea that this was necessary as part of corporate restructuring to prevent GIPL parent company from going into bankruptcy, which was factually found to be correct.

Examine the following issues:

i. **Is Ranjan an insider in this case? What is his liability, if any?**
ii. **What is the meaning of Unpublished price sensitive information?**
iii. **Are the charges Of SEBI correct?** **(June 2024 7 Marks)**

Ans. Insider trading under SEBI Regulations

(i) Is Ranjan an Insider?

Insider means any person who is:

a. a connected person; or
b. in possession of or having access to unpublished price sensitive information;

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Since Ranjan was the CMD having possession of the unpublished information, he is an insider. Listed entities shall have a process for how and when people are brought inside on sensitive transactions. Individuals should be made aware of the duties and responsibilities attached to the receipt of Inside Information, and the liability that attaches to misuse or unwarranted use of such price sensitive information.

(ii) Unpublished price sensitive information

Unpublished price sensitive information means any information, relating to a company or its securities, directly or indirectly, that is not generally available which upon becoming generally available, is likely to materially affect the price of the securities and shall, ordinarily including but not restricted to, information relating to the following:

(i) financial results;

(ii) dividends;

(iii) change in capital structure;

(iv) mergers, de-mergers, acquisitions, de-listings, disposals and expansion of business and such other transactions;

(v) changes in key managerial personnel; and

(vii) Correctness of charges of SEBI

On the one hand there is clear insider trading but on the other hand the motive is important. In a case, Supreme Court held that although the information was price sensitive , Ranjan's sale was a case of distressed Sale and cannot be considered as —insider trading (SEBI vs Abhijit Ranjan).

Although superficially it tantamount to violation but as per orders and derivation of court the motive of sale is considered and Ranjan is exonerated. Hence SEBI's charges will not hold good.

Q4. An issuer cannot make a public issue or rights issue of equity shares and convertible securities under certain conditions. Explain that conditions for a public issue or rights issue of equity shares and convertible securities. (Dec 2023 7 Marks)

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Ans. An issuer cannot make a public issue or rights issue of equity shares and convertible securities under the following conditions:

(a) If the issuer, any of its promoters, promoter group or directors or selling shareholders are debarred from accessing the capital market by SEBI, or of any other company which is debarred from accessing the capital market under the order or directions made by SEBI.

(b) Unless an application is made to one or more stock exchanges for "in principle" approval of listing of equity shares and convertible securities on such stock exchanges and has chosen one of them as a designated stock exchange. In case of an initial public offer, the issuer should make an application for listing in at least one recognised stock exchange having nationwide trading terminals

(c) Unless it has entered into an agreement with a depository for dematerialisation of equity shares and convertible securities already issued or proposed to be issued.

(d) Unless all existing partly paid-up equity shares of the issuer have either been fully paid up or forfeited.

(e) Unless firm arrangements of finance through verifiable means towards 75% of the stated means of finance, excluding the amount to be raised through the proposed public issue or rights issue or through existing identifiable internal accruals, have been made.

(f) Promoter's holding is in dematerialised form prior to filing of offer document.

(g) The amount for general corporate purposes as mentioned in the objects of the issue in the draft offer document shall not exceed 25% of the amount raised by the issuer.

(h) If the issuer or any of its promoters or directors is a wilful defaulter, or

(i) Issue shall be open for at least 3 days and not more than 10 days

(j) Minimum subscription shall be 90% of the issuer size failing which the application money has to be refunded forthwith , but not later than within 4 days (earlier 15 days) of closure of the issue.

(Explain Regulation 5 and Regulation 7 - Refer Q7 & Q8)

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Q5. Describe various steps to be taken by a listed Company in prevention of Insider trading. (June 2023 5 Marks)

Ans. The following steps need to be taken by the Management of a Listed Company to prevent insider trading which can also be referred as **Institutional Mechanism to counter Insider trading**:

a) The Chief Executive Officer shall put in place adequate and effective system of internal control for compliance.

b) The Audit Committee shall review compliance with the provision of these regulations at least once in a financial year and shall verify that the systems for internal control are adequate and are operating effectively.

c) Every listed company shall formulate policies and procedures for inquiry in case of leak or suspected leak of unpublished price sensitive information which shall be approved by the Board of directors and accordingly initiate appropriate inquiries in time and inform the Board promptly of the status.

d) The listed Company shall formulate whistle- blower policy and make employees aware of such policy to enable employees to report instances of leak of unpublished price sensitive information.

e) If an inquiry has been initiated by a listed Company in case of leak of unpublished price sensitive information or suspected leak of unpublished price sensitive information, the relevant intermediaries and fiduciaries shall co-operate with the listed company in connection with such an inquiry.

EXTRA PRACTICE QUESTIONS

Q6. Discuss the Eligibility requirements for an initial public offer.

Ans. [Regulation 6(1)] -An issuer shall be eligible to make an IPO only if:

a. the issuer has net tangible assets of atleast Rs. 3 crores on a restated and consolidated basis, in each of the preceding three full years of (12 months each) of which not more than 50% is held in monetary assets;

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- However, if more than 50% of the net tangible assets are held in monetary assets, the issuer has utilized or made firm commitments to utilize such excess monetary assets in its business or project.
- This limit of 50% shall not apply in case of IPO is made entirely through an offer for sale.

b. the issuer has an average operating profit of at least Rs. 15 crores, calculated on a restated and consolidated basis, during the three preceding years with operating profit in each of the three preceding years;

c. the issuer has a networth of atleast Rs.1 crore in each of the preceding three full years, calculated on a restated and consolidated basis;

d. in case the issuer has changed its name within the last one year, atleast 50% of the revenue calculated on a restated and consolidated basis, for the preceding one full year has been earned by it from the activity indicated by the new name.

In case the Eligibility condition is not met

However, in case an issuer does not satisfy the eligibility conditions stipulated above and included in Regulation 6(1) of ICDR Regulations 2018, it may still make an Initial Public Offer but only through the book building process and further undertake to allot at least 75% of the net offer to the public to Qualified Institutional Buyers (QIBs) and to refund full subscription money if it fails to do so. **[Regulation 6(2)]**.

Q7. Which Entities are not eligible to make an Initial Public Offer under SEBI (ICDR) REGULATIONS, 2018?

Ans. [Regulation 5] An issuer shall not be eligible to make an initial public offer:

a. If the issuer, any of its promoters, promoter group, directors, selling shareholders are debarred from accessing the capital market by SEBI.

b. If any of the promoters or directors of the issuer is a promoter or a director of any other company which is debarred from accessing the capital market by SEBI.

c. If the issuer or any of its promoters or directors is a willful defaulter or a fraudulent borrower.

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d. If any of the promoters or directors of the issuer is a fugitive offender.

e. If there are any outstanding convertible securities or any other right which would entitle any person with any option to receive equity shares of the issuer except outstanding options granted to the employees under an employee stock option scheme and fully paid-up outstanding convertible securities which are required to be converted on or before the date of filling of the Red Herring Prospectus or the Prospectus.

Q8. Explain the general conditions that need to be ensured by an issuer making an initial public offer .

Ans. [Regulation 7] - An issuer making an initial public offer shall ensure that:

a) It has made an application to one or more stock exchanges to seek an in-principle approval for listing of its specified securities on such stock exchanges and has chosen one of them as the Designated stock exchange;

b) It has entered into an agreement with a depository for dematerialisation of the specified securities already issued and proposed to be issued;

c) All its specified securities held by the promoters are in dematerialised form prior to filing of the offer document;

d) All its existing partly paid-up equity shares have either been fully paid-up or have been forfeited;

e) All its outstanding convertible securities have been converted into equity shares;

f) It has made firm arrangements of finance through verifiable means towards 75%. of the stated means of finance for a specific project proposed to be funded from the issue proceeds, excluding the amount to be raised through the proposed public issue or through existing identifiable internal accruals.

g) The amount for general corporate purposes, as mentioned in objects of the issue in the draft offer document and the offer document shall not exceed 25% of the amount being raised by the issuer.

The amount for:

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(i) general corporate purposes, and

(ii) such objects where the issuer company has not identified acquisition or investment target, as mentioned in objects of the issue in the draft offer document and the offer document, shall not exceed 35% of the amount being raised by the issuer.

However, the amount raised for such objects where the issuer company has not identified acquisition or investment target, as mentioned in objects of the issue in the draft offer document and the offer document, shall not exceed 25% of the amount being raised by the issuer.

Further provided that such limits shall not apply if the proposed acquisition or strategic investment object has been identified and suitable specific disclosures about such acquisitions or investments are made in the draft offer document and the offer document at the time of filing of offer documents.

Q9. Write a small note on differential pricing.

Answer: An issuer may offer equity shares and convertible securities at different prices, subject to the following condition:

(a) The retail individual investors/shareholders or employees entitled for reservation making may be offered equity shares at a price which is not lower than 10% the price at which net offer is made to other categories of applicants.

(b) In case of a book built issue, the price of the equity shares and convertible securities offered to an anchor investor cannot be lower than the price offered to other applicants.

(c) In case the issuer opts for the alternate method of book building, the issuer may offer specified securities to its employees at a price lower than the floor price. However, the difference between the floor price and the price at which equity shares and convertible securities are offered to employees should not be more than 10% of the floor price.

Q10. Discuss the Obligations of the Acquirer.

Ans. The acquirer has the following obligations.

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(a) To ensure that firm financial arrangements have been made for fulfilling the payment obligations under the open offer.

(b) To ensure able to implement the open offer, subject to any statutory approvals for the open offer that may be necessary.

(c) In the event the acquirer has not declared an intention in the detailed public statement and the letter of offer to alienate any material assets of the target company or of any of its subsidiaries whether by way of sale, lease, encumbrance or otherwise outside the ordinary course of business, the acquirer, where he has acquired control over the target company, shall be debarred from causing such alienation for a period of two years after the offer period:

Provided that in the event the target company or any of its subsidiaries is required to so alienate assets despite the intention to alienate not having been expressed by the acquirer, such alienation shall require a special resolution passed by shareholders of the target company, by way of a postal ballot and the notice for such postal ballot shall inter alia contain reasons as to why such alienation is necessary.

(d) The acquirer and persons acting in concert with him shall not sell shares of the target company held by them, during the offer period.

(e) The acquirer and persons acting in concert with him shall be jointly and severally responsible for fulfillment of applicable obligations under takeover code.

Q11. Discuss the Mode of payment that can be made by the acquirer under SEBI (SAST) Regulations , 2011 .

Ans. The payment of shareholders can be made by the acquirer :

a) in cash;

b) by issue, exchange or transfer of listed shares in the equity share capital of the acquirer or of any person acting in concert;

c) by issue, exchange or transfer of listed secured debt instruments issued by the acquirer or any person acting in concert with a rating not inferior to investment grade as rated by a credit rating agency registered with the Board;

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d) by issue, exchange or transfer of convertible debt securities entitling the holder thereof to acquire listed shares in the equity share capital of the acquirer or of any person acting in concert; or

e) a combination of the mode of payment of consideration stated in clause (a), clause (b), clause (c) and clause (d):

Q12. An open offer for acquiring shares once made shall not be withdrawn except under certain conditions. Explain.

Ans. An open offer for acquiring shares once made shall not be withdrawn except under any of the following circumstances,—

a) statutory approvals required for the open offer or for effecting the acquisitions attracting the obligation to make an open offer under these regulations having been finally refused.

b) the acquirer, being a natural person, has died;

c) any condition stipulated in the agreement for acquisition attracting the obligation to make the open offer is not met for reasons outside the reasonable control of the acquirer, and such agreement is rescinded, subject to such conditions having been specifically disclosed in the detailed public statement and the letter of offer.

d) such circumstances as in the opinion of the Board, merit withdrawal.

In the event of withdrawal of the open offer, the acquirer shall through the manager to the open offer, within two working days,—

- make an announcement in the same newspapers in which the public announcement of the open offer was published, providing the grounds and reasons for withdrawal of the open offer; and
- simultaneously with the announcement, inform in writing to,—
  - **i)** the Board;
  - **ii)** all the stock exchanges on which the shares of the target company are listed, and the stock exchanges shall forthwith disseminate such information to the public; and
  - **iii)** the target company at its registered office.

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Q13. In the last board meeting, one of the Board members wanted to understand the principles of fair disclosure under the SEBI (Prohibition of Insider Trading) Regulation, 2015. Elaborate the requirements under the Codes of Fair Disclosure.

Ans. As per Regulation 8 of the SEBI (Prohibition of Insider Trading) Regulations, 2015, the Principles of Fair Disclosure for purposes of Code of Practices and Procedures for Fair Disclosure of Unpublished Price Sensitive Information as covered in Schedule A to the SEBI (Prohibition of Insider Trading) Regulations 2015, shall be as follows:

1) Prompt public disclosure of unpublished price sensitive information that would impact price discovery no sooner than credible and concrete information comes into being in order to make such information generally available,

2) Uniform and universal dissemination of unpublished price sensitive information to avoid selective disclosure,

3) Designation of a senior officer as a chief investor relations officer to deal with dissemination of information and disclosure of unpublished price sensitive information,

4) Prompt dissemination of unpublished price sensitive information that gets disclosed selectively, inadvertently or otherwise to make such information generally available,

5) Appropriate and fair response to queries on news reports and requests for verification of market rumours by regulatory authorities,

6) Ensuring that information shared with analysts and research personnel is not unpublished price sensitive information,

7) Developing best practices to make transcripts or records of proceedings of meetings with analysts and other investor relations conferences on the official website to ensure official confirmation and documentation of disclosures made,

8) Handling of all unpublished price sensitive information on a need-to-know basis.

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